

SOLE PROPRIETORSHIPS

FIGURE 27.1 Sample Application Used by a Sole Proprietor to Register a Fictitious Name

APPLICATION FOR REGISTRATION OF FICTITIOUS NAME
Application for Registration of Fictitious Name

This space for office use only

Section 1

1. Richard's Beach Chain
Address: 1000 Danila Beach Boulevard
City: Daytona Beach
State: FL
Zip: 32104
County: Volusia
Fictitious Name: Richard's Beach Chain

2. FFI Number of Business: 1234567 (enter the correct)

Section 2

A. Registrant (if individual): (file an attachment if necessary):

1. Raleigh Joseph R. N/A
Address: 1000 Danila Beach Blvd
City: Daytona Beach
State: FL
Zip: 32104
County: Volusia
Fictitious Name: N/A

2. N/A
Address: N/A
City: N/A
State: N/A
Zip: N/A
County: N/A
Fictitious Name: N/A

B. Registrant if other than an individual: (file an attachment if necessary):

1. N/A
Address: N/A
City: N/A
State: N/A
Zip: N/A
County: N/A
Fictitious Name: N/A

2. N/A
Address: N/A
City: N/A
State: N/A
Zip: N/A
County: N/A
Fictitious Name: N/A

Section 3

FOR CANCELLATION, COMPLETION OF THIS SECTION APPLIES FOR FICTITIOUS NAME REGISTRATION CHANGE, COMPLETE SECTIONS 1 THROUGH 4.

I (we) the undersigned, hereby cancel the fictitious name _____, which was registered on _____ and assigned registration number _____.

Signature of Registrant: _____ Date: 1/5/2022
Signature of Agent: _____ Date: _____

Section 4

FOR CANCELLATION, COMPLETION OF THIS SECTION APPLIES FOR FICTITIOUS NAME REGISTRATION CHANGE, COMPLETE SECTIONS 1 THROUGH 4.

I (we) the undersigned, hereby cancel the fictitious name _____, which was registered on _____ and assigned registration number _____.

Signature of Registrant: _____ Date: _____

Signature of Agent: _____ Date: _____

Mark the applicable boxes:
☐ Certificate of Name, \$10
☐ Certified Copy, \$30
☐ NO REFUNDABLE PROCESSING FEE, \$80

CH-00001 (1/1/17)

In the following sections we examine the features of a sole proprietorship.

LO 27-2

Identify the advantages and drawbacks to the sole proprietor form of entity.

The easiest single-person ownership entity to form and maintain is a **sole proprietorship**. A sole proprietorship requires only a minimal fee, involves a straightforward filing requirement with the appropriate state or county government authority, and typically requires no annual filings. Its ease of formation and maintenance are its primary advantages. The simplicity of a sole proprietorship makes this entity a top choice for start-up businesses with relatively low annual revenues and expenses. An individual planning to conduct a sole proprietorship under a **trade name**, rather than their individual name (e.g., "Gates IT Consulting" rather than "Joan Gates") will also file a "doing business as," or DBA, certificate (a DBA name is sometimes known as a *fictitious name*) with a local or state office. There may be additional licenses required by the state and city where the business operates (sales tax licenses, etc.). These requirements vary by jurisdiction. [Figure 27.1](#) is a sample of a sole proprietor filing required in Florida.

Page 509
Page 510

In  **Case 27.1**, a state appellate court considers the impact of the sole proprietorship form of business on a contract transaction.

FACT SUMMARY

Lewis filed suit against Moore claiming, among other things, that the 2012 agreement formed an implied partnership between Moore and Lewis and thus he was entitled to ongoing payments. The trial court held for Moore and Lewis appealed.

The Tennessee Court of Appeals affirmed the trial court's decision in favor of Moore. The court ruled that because Moore was a sole proprietor, no other individual could have had an ownership interest in Moore Media and Moore was free to dissolve the entity at any time. The court pointed out that Sandicrafts was not a sham company and that any transfer of assets was proper since, by definition, Moore had a 100 percent ownership interest in her sole proprietorship business.

¹⁴Adopting *Ms. Lewis's* first argument, we agree with the trial court that *Ms. Moore* had the authority to unilaterally disavow *Ms. Moore, Ms. Lewis* and the other claimants, have an ownership interest in *Moree Media*. The parties agreed that, at least prior to the events of 2002, *Moree Media* was operated by *Ms. Moore* as a sole proprietorship. A sole proprietorship is nothing more than an individual conducting a business for profit, when it runs on his or her own. Therefore, *Ms. Lewis* did not purchase an ownership interest from the sole proprietor. Indeed, this court has noted that a sole proprietorship's liability and its owner are one in the same.¹⁵ Therefore, *Ms. Lewis* did not purchase an ownership interest in *Moree Media* because he could not purchase a 10% interest in *Moree Media* any more than he could purchase a 10% interest in *Ms. Moore*. Accordingly, *Ms. Moore*, as the sole proprietor, had the authority to disavow *Ms. Moore's* ownership interest in *Moree Media*.

Case Questions

1. Why did the court reject Lewis's theory that an implied partnership existed between Lewis and Moore?
2. Why does the court point out that a sole proprietorship doesn't have a "separate legal existence"?
3. Focus on *Critic's Thinking*: Was this a good strategy by Moore? Why or why not? Was it ethical? Was the court's decision fair or did Moore use the law to shield her from a bad business deal?